

complex system, not on the person protecting the status quo.

2. Avoid optimization; learn to love redundancy.

I've discussed redundancy and optimization in Section I. A few more things to say.

Redundancy (in terms of having savings and cash under the mattress) is the opposite of debt. Psychologists tell us that getting rich does not bring happiness—if you spend your savings. But if you hide it under the mattress, you are less vulnerable to a Black Swan.

Also, for example, one can buy insurance, or construct it, to robustify a portfolio.

Overspecialization also is not a great idea. Consider what can happen to you if your job disappears completely. Someone who is a Wall Street analyst (of the forecasting kind) moonlighting as a belly dancer will do a lot better in a financial crisis than someone who is just an analyst.

3. Avoid prediction of small-probability payoffs—though not necessarily of ordinary ones.

Obviously, payoffs from remote events are more difficult to predict.

4. Beware the “atypicality” of remote events.

There are suckers' methods called “scenario analysis” and “stress testing”—usually based on the past (or on some “make sense” theory). Yet (I showed earlier how) past shortfalls do not predict subsequent shortfalls, so we do not know what exactly to stress-test for. Likewise, “prediction markets” do not function here, since bets do not protect an open-ended exposure. They might work for a binary election, but not in the Fourth Quadrant.

5. Beware moral hazard with bonus payments.

It's optimal to make a series of bonuses by betting on hidden risks in the Fourth Quadrant, then blow up and write a thank-you letter. This is called the moral hazard argument. Bankers are always rich because of this bonus mismatch. In fact, society ends up paying for it. The same applies to company executives.